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Something social, something entertaining? How digital content marketing augments consumer experience and brand loyalty

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ABSTRACT

Branded content marketing serves as an ongoing conversation between brands and consumers. Creating value-rich information that breaks through the noise and that can accelerate brand building has been a standing challenge for many brands. Informed by extant literature on content marketing, this study proposed a comprehensive theoretical framework that explicates the mechanism of branded content marketing in brand loyalty across both high- and low-product involvement brands. This study applied the classification of consumption values to the context of content marketing, hypothesized, and identified consumers' experiential evaluation as an underlying mechanism of content marketing accounting for brand loyalty. Specifically, for a high-product involvement brand (i.e., *Lenovo*), consumers' perceived informative and entertainment value of branded content, as well as the perceived functional value of the brand's YouTube channel, positively shape their experiential evaluation of the brand, which in turn, leads to greater brand loyalty. For a low-product involvement brand (i.e., *Nescafé*), consumers' derived entertainment and social value of branded content, as well as the functional value of its YouTube channel, jointly affect consumers' experiential evaluation, which subsequently contributes to elevated brand loyalty.

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From *Michelin's* print travel guide in the earliest days to the recent *North Face's* adventure videos and how-to tutorials on YouTube (NewsCred 2014; Pulizzi 2016), content marketing is never a new concept. Content marketing has been defined as “a strategic marketing approach focused on creating and distributing valuable, relevant, and consistent content to attract and retain a clearly defined audience – and, ultimately, to drive profitable customers action” (Content Marketing Institute 2018). Digital content marketing describes content that is “based on the premise of a genuine, sincere desire to add value to the consumer's life in some relevant way, thereby facilitating customer acquisition or retention” via online or social media (Hollebeek and Macky 2019, 28). It

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includes various content formats, such as videos, e-newsletters, ezines, podcasts, whitepapers, infographics, webinars, and virtual conferences (Fox, Nakhata, and Deitz 2019; Hollebeek and Macky 2019). A survey from the Content Marketing Institute reported that 86% of business-to-consumer organizations and 91% of business-to-business companies in North America have adopted content marketing strategy (Beets and Handley 2018a, 2018b). Smart Insights also reported that marketers believe content marketing is likely to have the biggest impact on their business in the near future (Santo 2019).

Branded content marketing, as a branch of brand communication, seeks to produce valuable information to satisfy consumer needs (Schultz 2016). Branded content marketing fulfills the duties of informing and educating consumers on certain topics, sharing perspectives and values, as well as entertaining them (Harad 2013). Although content marketing shares the same goal as advertising in terms of increasing sales and building brands (Neff 2015), it doesn't present explicit selling pitches. Branded content marketing has been found to help brands build trust and credibility (du Plessis 2017; Muntinga et al. 2011), better connect with the target audience (du Plessis 2017), and facilitate consumer learning (Rowley 2008). Essentially, branded content marketing is viewed as an ongoing socialization between brands and consumers, which aims at "changing consumers' inactive behavior through unobtrusive, engaging brand conversations" (du Plessis 2015, 128). During this process, consumers extract value out of their exposure to branded content marketing, which in turn, has been found to drive brand loyalty and subsequent patronage intentions (Lou et al. 2019).

Prior research on branded content marketing often posit the relationships between content marketing and brand outcomes (e.g., awareness, equity) based on qualitative reviews (e.g., Ahmad, Musa, and Harun 2016; du Plessis 2015; Holliman and Rowley 2014; Gagnon 2014; Kee and Yazdanifard 2015; Rowley 2008). A few studies that conducted content analyses or surveys advocated the positive role of social media-based content marketing in consumer engagement (e.g., Ashley and Tuten 2015; Chauhan and Pillai 2013; du Plessis 2017; Hutchins and Rodriguez 2018; Kim and Ko, 2012). Another line of the extant research explicated the causal relationship between branded content marketing and brand building, and substantiated the argument regarding the positive impact of branded content marketing on brand building (e.g., Coursaris et al. 2016; Lou et al. 2019; Padilla Vivero 2016). For instance, Coursaris et al. (2016) focused on the links between general social media marketing communication, brand equity, consumer engagement, and purchase intentions. Padilla Vivero (2016) looked into the effect of content features (i.e., novelty and use of statistics) on consumer engagement. Taking a step further, Lou et al. (2019) identified a mechanism – value perceptions – through which branded content marketing enhanced brand loyalty and purchase intentions. In particular, they proposed a preliminary typology accounting for the roles of informative and entertainment values in brand loyalty and purchase intentions (Lou et al. 2019). However, these two types of value may not fully capture the construct of value acquisition during consumers' processing of branded content marketing. This thus warrants a more nuanced understanding of the mechanism through which branded content values drives brand loyalty.

Against the backdrop of the aforementioned studies, this study seeks to expand the extant conceptual model on branded content marketing and to shed light on the

process through which branded content marketing affects consumers' brand experience and brand loyalty. In so doing, we generate the following contributions. First, we extended the theory of consumption values to the context of digital branded content marketing to account for the value perceptions of branded content marketing, and conceptualized how consumers obtain varied values upon exposure to branded content marketing. Second, we proposed and identified the mediating role of consumers' experiential evaluation in the relationship between value perceptions of branded content marketing and brand loyalty, which advanced the prior literature on the mechanisms of content marketing in brand building and added to the experiential perspective (vs. information processing perspective) of consumption. Third, managerially, we provided detailed guidance for efficient digital branded content marketing executions, which can be applicable to both high- and low-product involvement brands.

Literature review

Digital content marketing and YouTube

Hollebeek and Macky (2019) revisited the conceptualization of digital content marketing and summarized four characteristics that set it apart from advertising. First, content marketing reflects a firm's or a brand's genuine promise to create value to (prospect) customers through offering relevant or free content (Holliman and Rowley 2014). Second, it aims at building long-term relationships with consumers, instead of directly asking them to make immediate purchases (Ahmad, Musa, and Harun 2016). Third, content marketing relies on consumers' proactivity to seek worthwhile brand content, rather than brands' shoving or pushing content to consumers (Deighton and Kornfeld 2009). Last, compared to "paid" advertising, digital content marketing "earns" their audience by offering things that are rewarding or valuable (Nagy and Midha 2014).

Prior literature on digital content marketing mostly examined how it influenced consumer engagement (Hollebeek and Macky 2019), consumer learning (Rowley 2008), brand building (Holliman and Rowley 2014), or brand attitudes (Müller and Christandl 2019). Notably, extant literature suggests that content marketing beneficially contributes to brand building via providing values to consumers (e.g., Ahmad et al. 2016; Hutchins and Rodriguez 2018; Schultz 2016). However, little is known about what specific values that consumers acquire from branded content. It also remains unclear regarding the underlying mechanism that explains the link between consumers' value perceptions and brand loyalty. In other words, how do the perceived values translate to consumer attachment to brands?

As online video traffic has been estimated to comprise 80% of the total consumer traffic online in 2019 (Sukhraj 2019), this study focused on branded content marketing on YouTube. YouTube, a video-sharing platform, currently boasts 2 billion monthly active users (Iqbal 2019). Viewers have been watching more than one billion hours of videos daily (Nicas 2017), making YouTube a dominant platform for digital advertising and marketing practices. A research conducted by Google showed that 68% of YouTube users have watched a product-related video before making a purchase (Think with Google 2019). This trend is aligned with a research from Magna, which

indicated that, social media and online videos have the highest ad revenue growth in 2018 (Santo 2019). Considering that YouTube is becoming an increasingly significant platform for branded content marketing, this study focused on content marketing on YouTube and examined videos from brands' YouTube channels.

Value perceptions of content marketing

Consumers often pursue branded content to learn about brand-related information or product usage, through which consumers can also extract value (Lou et al. 2019; Zhou et al. 2013). For instance, Lou et al. (2019) argued that consumers navigate the learning process during their interactions with the branded content: they derive value and subsequently develop brand attachment or loyalty to the brand. They applied Ducoffe's (1996) advertising value theory in operationalizing the perceived informative and entertainment values of branded content. However, this two-dimensional classification of branded content value may not fully capture the value perceptions of branded content. Drawing on Sheth et al.'s (1991) theory of consumption values (i.e., epistemic, emotional, social, function, and conditional values), this study seeks to further classify the value perceptions of branded content marketing and to explicate the mechanism of branded content marketing in brand loyalty.

Broadly speaking, value perception refers to "a consumer's overall assessment of the utility of a product based on perceptions on what is received and what is given" (Zeithaml 1988, 14), which often predicts consumer behavior. Specifically, a well-cited five-dimensional classification of value perceptions – consisting of epistemic, emotional, social, functional, and conditional values – has been proposed by Sheth et al. (1991), which argued that, (1) "consumer choice is a function of multiple consumption values" (160), (2) the values contribute differently across choice situations, and (3) that these values are independent. In particular, *epistemic value* describes benefits obtained through consumers' contact with novel information and knowledge during the process of consumption (Sheth et al. 1991). We argue that the epistemic value of branded content corresponds to the *informative value* of the advertising value theory, as *informative value* refers to advertising's utility in providing new, timely, useful and valuable information about product/brand alternatives for making informed decisions (Ducoffe 1996). *Emotional value* refers to feelings or affective states associated with a consumption choice (Sheth et al. 1991). In a similar vein, the *entertainment value* of the advertising value theory also captures an affective dimension and describes advertising's functions in satisfying consumers' entertainment needs (Ducoffe 1996). Taken together, in the branded content marketing context, we aim to extend the two-dimensional typology of value perceptions – *informative value* and *entertainment value* – proposed by Lou et al. (2019), and posit that *informative value* herein broadly tallies with *epistemic value* of the five consumption values, whereas *entertainment value* parallels *emotional value*. We thus kept *informative value* and *entertainment value* in our theorization while extending it to include two extra dimensions of the five consumption values (i.e., *social value* and *functional value*).

Social value refers to "the perceived utility acquired from an alternative's association with one or more specific social groups" (Sheth et al. 1991, 161). Social value largely

captures the perceived utility related to symbolic or conspicuous consumption (e.g., clothing) or consumption shared with others (e.g., gifts), and often entails interpersonal communication (Robertson 1967). Herein we theorize *social value* of branded content as valuable content that helps one gain social benefits – like popularity or likeability – from one’s social network. *Functional value* is defined as the perceived utility obtained from a consumption choice’s utilitarian or physical performance (Sheth et al. 1991). Within the context of this study, we posit that, functional value can capture how well brands’ social media platforms or owned media can serve as reliable information sources (Ming-Sung Cheng et al. 2009). Additionally, the fifth dimension – *conditional value* – describes “the perceived utility acquired by an alternative as a result of the specific situation or set of circumstances facing the choice maker” (Sheth et al. 1991, 162), meaning that the value of a consumption choice largely depends on the situation. For instance, some products are used in certain situations (e.g., engagement ring for marriage). Sweeney and Soutar (2001) argued that conditional value serves more as a moderating factor that influences perceptions of functional and social values, rather than being a unique dimension itself. Similarly, Ming-Sung Cheng et al. (2009) posited that conditional value is more like a special case of the other four values than being an actual value dimension and thus excluded it when examining consumers’ perceived values of using the Internet as a retailing platform. In this research, we focus on value perceptions of branded content marketing applicable to general situations and thus adopt Ming-Sung Cheng et al.’s (2009) approach by discarding *conditional value*.

Sheth et al.’s (1991) classification of five values originally described the acquired benefits of consumption choices. It has been applied to a variety of situations and topics, including the value of the Internet as a retailing platform (Ming-Sung Cheng et al. 2009), the value of travel destinations (Luo et al. 2020), the value of information and entertainment mobile services (Pihlström and Brush 2008), and the value of streaming apps (Oyedele and Simpson 2018). In this study, we adopted Sheth et al.’s (1991) value typology, along with Ducoffe’s (1996) advertising value theory, and focused on the following four value perceptions – informative (epistemic), entertainment (emotional), social, and functional value – in examining the perceived values of branded content marketing on YouTube. Below, we explicate how experiential evaluation serves as an underlying mechanism through which the values of branded content marketing shapes brand loyalty.

Value perceptions and experiential evaluation

Branded content marketing, as an on-going conversation between brands and consumers, constitutes an indispensable part of consumer experiences (Duris 2020; Fredshaw 2019). Holbrook and Hirschman (1982) first introduced the concept of experiential view of consumption and argued that consumption can be seen as “a steady flow of fantasies, feelings, and fun” (132). Pine and Gilmore (1998) clearly termed consumer experience and described it “as real an offering as any service, good, or commodity” (98), and proposed that engaging customers in a way that generates memorable experiences can help firms sell. More recently, consumer experience refers to consumers’ evaluation of their interactions with brands, which includes encounters with representatives of the brands, products, and/or services, as well as

exposure to brand advertising, product reviews, word-of-mouth, and/or branded content marketing (Loureiro and Sarmiento 2018; Meyer and Schwager 2007). Consumers' exposure to brand events is often designed to be enjoyable, engaging, and memorable (Oh, Fiore, and Jeoung 2007). In view of the shift of marketing paradigm from service-offering to relationship-building and experience-provision, marketers have been increasing their investment in creating and delivering superior consumer experiences (Loureiro and Sarmiento 2018). Previous marketing literature revealed that, brands' offering of emotion-rich experiences can generate brand differentiation, boost brand loyalty, and increase product sales (Morrison and Crane 2007).

Given the importance of customer experience in brand building, it becomes meaningful to examine the role of experiential evaluation in the mechanisms of digital content marketing. In a seminal article, Holbrook and Hirschman (1982) described two views of consumer behavior – the information-processing view and the experiential perspective. The information-processing approach views the consumers as logical thinkers, whereas the experiential view “regards the consumption experience as a phenomenon directed toward the pursuit of fantasies, feelings, and fun” (Holbrook and Hirschman 1982, 132). This experiential process of consumption entails fun and aesthetic enjoyment from varied multisensory experiences (Fiore and Kim 2007). Applying this experiential approach to an E-store context, Pee et al. (2019) described the experiential process as consumers' “engaging in a flow of feelings based on subjective characteristics and sensory cues, seeking fun, arousal, and enjoyment” (Pee et al. 2019, 181). In relation to digital content marketing, this experiential process can readily capture how consumers react to branded content marketing.

With respect to the relationship between value perceptions and experiential evaluation, Li et al. (2015) suggested that value perceptions of e-service positively affect experiential evaluation, which in turn, shapes e-loyalty. Similarly, Loureiro and Sarmiento (2018) indicated that consumers' value perceptions of banking sector positively influence their bank experiences, which in turn, affects brand equity. YouTube, as a video-sharing platform, affords and provides abundant brand contents that are multisensory and emotional. When consumers are exposed to branded content marketing, we expect that their perceived informative, entertainment, and social values of the content, as well as perceived functional value of the YouTube channel, are likely to positively shape their experiential evaluations. Therefore, we propose that, participants' value perceptions of the branded content and brand channel positively influence their experiential evaluation of the brand:

H1: Participant's perceived **a)** informative value, **b)** entertainment value, **c)** social value of branded content, and **d)** functional value of a brand's YouTube channel will be positively related to their experiential evaluation of the brand.

Experiential evaluation of a brand can also predict brand loyalty (e.g., Pee et al. 2019; Sreejesh and Abhilash 2017). For instance, Pee et al. (2019) studied consumers' responses to online stores and found that change in experiential evaluation, has a stronger effect in the development of loyalty toward the E-store than that of information-processing evaluation. Huang et al. (2012) examined visitors' experiences in a Chinese cultural performance and found that their experiential evaluations of the performance significantly affected their intentions to revisit the show. This might be that,

positive experiential assessment yields more pleasant mood and heightened satisfaction, which in turn, leads to a stronger attachment towards a brand (Huang et al. 2012). In this vein, we propose that:

H2: Participants' experimental evaluation of a brand will positively predict their brand loyalty.

Brand loyalty

Brand loyalty describes "the attachment that a consumer has to a brand" (Aaker 1991, 39), which entails repeated purchases and recommendation of a brand to others (Gronholdt, Martensen, and Kristensen 2000). A series of factors can influence brand loyalty, including risk propensity (Massad and Reardon 1996), consumer-brand relationship (Luo, Zhang, and Liu 2015), value creation in brand community (Laroche et al. 2012), and social influence in brand community (O'Donnell and Brown 2012). Relevant to the social media context, recent research has demonstrated the positive effects of social media-based brand community and general social media marketing communication on brand trust and brand loyalty (e.g., Laroche et al. 2012; Orzan et al. 2016).

In social media-based brand communities, value creation emerged to be a mediating mechanism through which brand communities positively affects brand trust and brand loyalty (e.g., Laroche et al. 2012; Luo et al. 2015). Value-creation practices herein include consumers' "(1) general procedural understandings and rules (explicit, discursive knowledge); (2) skills, abilities and culturally appropriate consumption projects (tacit, embedded knowledge or how-to); and (3) emotional commitments expressed through actions and representations" (Schau, Muniz, and Arnould 2009, 30). In other words, value creations are practices through which consumers co-create or acquire values in a brand community via social networking, community engagement, impression management, and brand use (Laroche et al. 2012; Luo et al. 2015). For instance, Yoshida et al. (2018) argued that users' perceived entertainment value of social media pages can positively influence their brand loyalty via community identification and brand engagement.

Drawing on the aforementioned literature on value perceptions of branded content marketing, experiential evaluation, and brand loyalty, we posit that, when consumers engage with branded content marketing, they also "co-create" or derive values from their interactions (e.g., Chen et al. 2017; Jiao et al. 2018). The extracted values have been found to positively affect experiential evaluation, which in turn, leads to enhanced brand loyalty in the context of e-service and banking sector (e.g. Li et al. 2015; Loureiro and Sarmento 2018). Collectively, we posit experiential evaluation as an underlying mechanism of branded content marketing in brand loyalty:

H3: Participants' experiential evaluation will mediate the effects of value perceptions – **a)** informative, **b)** entertainment, **c)** social, and **d)** functional values – of branded content on brand loyalty.

The moderating role of product involvement

Previous literature has suggested that product involvement significantly influences consumer decision making (Park and Hastak 1994; Petty, Cacioppo, and Schumann

1983), including consumers' general information processing (e.g., Chang 2010; Te'eni-Harari, Lehman-Wilzig, and Lampert 2009) and processing of branded content marketing (Lou et al. 2019). Product involvement refers to "a person's perceived relevance of the object based on inherent needs, values, and interests" (Zaichkowsky 1985, 342). For example, consumers who are highly involved with a product category tend to have consistent interests or needs in this type of products, rate them more relevant, and value them more across varied scenarios. Product involvement plays a significant moderating role in decision making, for instance, high-involvement decision occurs when a product involves a high-decisional risk, a high price, and/or a reflection of consumer's self-image (Petty and Cacioppo, 1981). In other words, consumers tend to pay more attention to information seeking and processing for high-involvement products (Knox and Walker 2003).

Product involvement can be either situational or enduring (Celsi and Olson 1988; Richins and Bloch 1986; Suh and Youjae 2006). On one hand, consumers' product involvement and value evaluation are contingent on situational cues (e.g., promotion, coupons) from their immediate environment (Suh and Youjae 2006). On the other hand, consumers' product involvement with a certain product type can also be stable and consistent, which is often shaped by their past experiences and long-term memory and knowledge of the product (Celsi and Olson 1988). For instance, consumers may consistently express a low involvement with packaged food and a high involvement with cars. In this study, we focus on consumers' enduring product involvement.

According to the Elaboration Likelihood Model (ELM) (Petty et al. 1983), consumers are more motivated to elaborate on and peruse product-relevant information for a high-involvement product (vs. a low-involvement one), whereas they are more likely to resort to peripheral cues or shortcuts (e.g., celebrity sponsorship, emotional appeal) when evaluating information for a low-involvement product (e.g., Duncan and Nelson 1985; Simoes and Agante 2014). In agreement with this proposition, Lou et al. (2019) argued that the relationship between value perceptions of branded content marketing (i.e., informative value and entertainment value) and brand loyalty also differs as a function of product involvement, and thus advised high product-involvement brands to highlight informative content while recommending low product-involvement brands to feature more entertaining content. Furthermore, while we acknowledge that consumption experience involves both an information processing perspective and an experiential view (Holbrook and Hirschman 1982), we expect that participants will be more likely to attend to and register the informative value of branded content when it involves a high involvement product (vs. a low involvement one), whereas they will be more attracted to the emotional or entertaining value of branded content when it is for a low-involvement product than a high-involvement one. Their varying value perceptions will thus contribute to their brand experiences differently. We propose that,

H4: Product involvement will moderate the relationships between **a)** perceived informative value, and **b)** entertainment value of branded content and experiential evaluation of the brand, such that, the informative value will be a stronger predictor of experiential evaluation for a high-involvement product (vs. a low-involvement one), whereas the entertaining value will be a stronger predictor of experiential evaluation for a low-involvement product (vs. a high-involvement one).

However, whether and how product involvement moderates the links between social and functional values of branded content/brand channel and experiential evaluation of the brand (H1c-d), as well as the relationship between experiential evaluation and brand loyalty (H2), is yet to be answered. Therefore, we ask the following questions:

RQ1: What, if any, is the moderating effect of product involvement on the relationship between social value and experiential evaluation?

RQ2: What, if any, is the moderating effect of product involvement on the relationship between functional value and experiential evaluation?

RQ3: What, if any, is the moderating effect of product involvement on the relationship between experiential evaluation and brand loyalty?

Covariates

Individual's involvement with a specific social media platform can affect their attitudinal evaluation and behavioral intentions toward branded content embedded on that platform (e.g., Lou and Yuan 2019). Given that we are focusing on content marketing on YouTube, we conceptualized and operationalized participants' involvement in YouTube use (e.g., watching videos/following updates as an important part of one's life) (e.g., Choo et al. 2014), and included it as a covariate in model testing. Further, consumers' existing brand attitudes can directly influence their processing of persuasive content (Lee 2010) and subsequent attitude change (Vanwesenbeeck, Walrave, and Ponnet 2017). Thus, we speculate that participants' prior brand attitudes can potentially confound the hypothesized relationships between value perceptions and brand loyalty, which was also controlled for in model testing. Figure 1 efficiently summarizes the proposed conceptual model in this study.

Method

Design and participants

We used a one-factor (product involvement: high vs. low) online experimental design to test the hypotheses and research questions. A total of 700 participants who are YouTube users and who reside in the United States were recruited from Amazon Mechanical Turk (MTurk). After eliminating those who did not pass quality checks and recall questions, 665 participants were entered for final analysis. They had an average age of 37.47 (SD = 12.09). Most of them were male (51.7%) and White (79.5%). Around half of them have a bachelor's degree (46.3%) and their median annual income fell into the range of \$50,000-\$74,999. A series of pretests were conducted to identify a dyad of high- and low-involvement product categories and a representative brand within each category. Based on the results of the pretests, the researchers extracted branded content from the selected brands' YouTube channels for the main study.

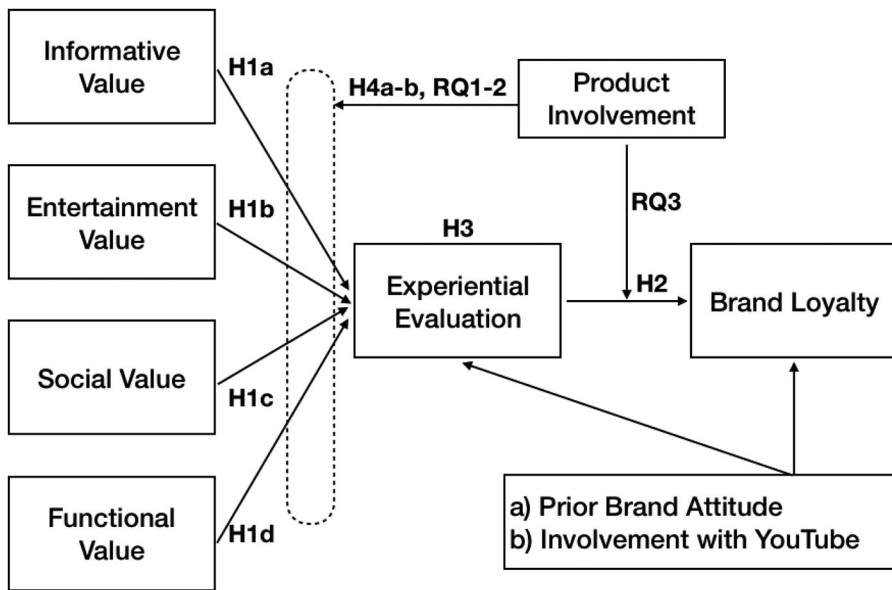


Figure 1. Proposed conceptual model.

Pretests

Pretest 1 on product category selection

With the aim of locating two product categories in which the target audience experience either a high or a low involvement level, we recruited a total of 148 participants from MTurk and asked them to rate their involvement with a series of 11 product categories (e.g., apparel, soft drink, automobile, airline, laundry detergent). The participants had an average age of 37 ($SD = 10.32$), with 53.4% of them being male and 79.1% being white. The participants were each compensated with \$1.02 for their participation. Five semantic differential scales from Mittal (1995) were used to measure product involvement, including “unimportant/important,” “of no concern/concern,” “means nothing to me/means a lot to me,” “doesn’t/don’t matter to me,” and “insignificant/significant” (7-point scale). Among the 11 categories, laptop was rated as having the highest involvement level ($M = 6.02$, $SD = 1.04$), with instant coffee having the lowest involvement level ($M = 2.98$, $SD = 2.05$). We then identified a series of brands within each of the two categories that are active on YouTube (see the descriptives in Table 1).

Pretest 2 on brand selection

Pretest 2 was administered to select a brand from each of the high- and low-product involvement categories to appeal to the majority of the target audience. We included five instant coffee brands (i.e., *Nescafé*, *Folgers*, *Douwe Egberts*, *Jacobs Kronung*, and *Four Sigmatic*) and 10 laptop brands (i.e., *ASUS*, *Lenovo*, *Logitech*, *Dell*, *Sony*, *Canon*, *Microsoft*, *HP*, *Acer*, and *Toshiba*) that all have YouTube channels targeting the US market. We sought to select a dyad of brands that enjoy similar levels of brand favorability and familiarity among the participants. Brands rated with a medium level of brand

Table 1. Descriptives of pretest 1 ($N = 148$).

Product Category	Involvement (M, SD)
Chain restaurants	4.52 (1.71)
Apparel casual	4.20 (1.72)
Sportswear	4.18 (1.83)
Airline product & service	3.89 (1.89)
Home décor	3.68 (1.73)
Car insurance	4.96 (1.74)
Soft drinks	3.81 (1.84)
Cars/automobiles	5.03 (1.70)
Instant coffee*	2.98 (2.05)
Laundry detergent	5.15 (1.54)
Laptop (related tech hardware)*	6.02 (1.04)

Note. *selected categories.

attitude and familiarity were picked to facilitate potential variations in participants' brand evaluations in the main study. A total of 144 participants, recruited from MTurk, rated each of the brands in terms of attitudes (Kelly, Slater, and Karan 2002; "not at all appealing/appealing," "not at all likeable/likeable," "not at all in-style/in-style," and "not at all cool/cool") and familiarity ("not at all familiar/familiar") on a 7-point scale. The participants had an average age of 37 ($SD = 10.96$), with 54.2% of them being male and 83.3% being white (each paid with \$1.51). Based on the results, we selected a laptop brand – *Lenovo* ($M_{attitude} = 4.54$, $SD = 1.31$; $M_{familiarity} = 4.62$, $SD = 1.95$) and an instant coffee brand – *Nescafé* ($M_{attitude} = 4.52$, $SD = 1.23$; $M_{familiarity} = 4.73$, $SD = 1.76$) – to exemplify brands from the high- and low-involvement product categories, respectively. The results of t-test analyses showed no significant difference between the two brands in terms of brand attitudes ($t(143) = .18$, $p = .86$) or familiarity ($t(143) = .55$, $p = .58$) (see the descriptives in Table 2).

Stimuli

According to Lou et al. (2019) study, brands' YouTube content often fall into the following types: tutorials, brand campaigns, and consumer stories. We thus chose to extract three videos from each of the brands' YouTube channels that cover each of the three types of branded content (i.e., *Lenovo* and *Nescafé*). The tutorial video or a "how-to" video, illustrates techniques or soft skills related to product use. Brand campaign videos are about recent brand events or updates, and a consumer story video depicts consumer-generated story or story of consumer(s). In alignment with the definition of content marketing, all of the videos illustrate brand content without displaying explicit sales pitch or promotional messages. To control for the role of each YouTube video's virality (i.e., number of likes, comments) in consumer responses, we embedded all the videos in Qualtrics, the online survey platform, without showing any engagement metrics of the channels or the videos.

At the time when this study was conducted in the Fall 2019, *Nescafé* USA had a total of 2,840 followers and 36 videos on its YouTube channel. *Lenovo* USA's YouTube channel had around 197,000 followers and 1,709 videos. (see Appendix for the selected videos' URLs).

Table 2. Descriptives of pretest 2 ($N = 144$).

	Attitude (M, SD)	Familiarity (M, SD)
Instant coffee brands		
<i>Nescafé*</i>	4.52 (1.23)	4.73 (1.76)
<i>Folgers</i>	4.54 (1.45)	5.77 (1.44)
<i>Douwe Egberts (D•E)</i>	3.66 (1.06)	1.42 (1.16)
<i>Jacobs Kronung</i>	3.85 (1.10)	1.67 (1.43)
<i>Four Sigmatic</i>	3.68 (1.18)	1.46 (1.15)
Laptop brands		
<i>Asus</i>	4.97 (1.28)	4.83 (1.97)
<i>Lenovo*</i>	4.54 (1.31)	4.62 (1.95)
<i>Logitech</i>	4.97 (1.16)	4.99 (1.90)
<i>Dell</i>	4.81 (1.53)	5.99 (1.16)
<i>Sony</i>	5.60 (1.11)	6.03 (1.13)
<i>Canon</i>	5.22 (1.26)	5.50 (1.36)
<i>Microsoft</i>	5.18 (1.42)	6.38 (.89)
<i>HP</i>	4.93 (1.31)	5.99 (1.13)
<i>Acer</i>	4.67 (1.20)	5.07 (1.47)
<i>Toshiba</i>	4.70 (1.32)	5.25 (1.52)

Note. *selected brands.

Procedure

First, participants were told that this study was about investigating YouTube users' social media use and brand experiences. They answered several screening questions asking whether they are social media/YouTube users and how long they use social media. Those who are not social media or YouTube users were excluded from further participation. Participants were then randomly assigned to either the high product involvement *Lenovo* condition or the low product involvement *Nescafé* condition (*Lenovo*: $N = 338$; *Nescafé*: $N = 327$). Under each condition, they first reported their recent laptop/instant coffee purchase, involvement level with the product, and preexisting brand attitudes. They were then directed to view three brand videos (i.e., tutorial campaign, and consumer story) that were presented in a randomly order. Each of the videos lasts around one minute. After viewing each video, participants filled in an aided recall question asking about "The video that you just watched was about ____ (brand name)", with options including *Lenovo*, *Microsoft*, *HP*, and *Toshiba* for the *Lenovo* condition, and options including *Starbucks*, *Nescafé*, *Folgers*, and *Four Sigmatic* for the *Nescafé* condition. The participants were also asked to write down a sentence describing the video content. After they finished watching the three videos, they answered questions asking about the perceived values of the brand content and brand channel, experiential evaluation of the brand, and brand loyalty. Finally, they reported demographic information. Upon completion, participants were debriefed, thanked, and compensated with \$0.64 each. It took them 10 minutes or less to complete the study.

Measures

Involvement

Participants were asked to rate their involvement with each of the product category on five 7-point semantic differential scales (Mittal 1995), including "unimportant/important", "of no concern/of concern", "means nothing to me/means a lot to

me”, and “doesn’t matter/matters to me”, and “insignificant/significant” (Cronbach’s $\alpha = .98$).

Value perceptions

Four statements that were revised based on previous literature examined participants’ *informative value* of the branded content: “those videos provide relevant/timely/useful/valuable brand information” (Ducoffe 1995), with options varying from “strongly disagree” to “strongly agree” (Cronbach’s $\alpha = .97$). Participants rated their agreement with five statements that were revised based on existing literature, which measured their perceived *entertainment value* of the content (“those videos are very entertaining/enjoyable/exciting/pleasing” and “I feel relaxed when I watch those videos”) (Ducoffe 1995) (Cronbach’s $\alpha = .95$). Participants’ *social value* were captured by the following four statements, with items such as “sharing what I learned from those videos with others will make me more popular” (Ming-Sung Cheng et al. 2009; Dholakia, Bagozzi, and Pearo 2004; Oyedele and Simpson 2018) (Cronbach’s $\alpha = .96$). Participants rated their agreement with five items that examined the perceived *functional value* of the brand channel, with items such as “Lenovo/Nescafé’s YouTube channel is a reliable medium for brand/product information” (Ming-Sung Cheng et al. 2009) (Cronbach’s $\alpha = .95$). All of the aforementioned statements were measured on a 7-point Likert scale.

Experiential evaluation & brand loyalty

Four semantic differential scales captured participants’ experiential evaluation of the brand, anchored by “very dissatisfied/very satisfied”, “very displeased/very pleased”, “very frustrated/very contented”, and “absolutely terrible/absolutely delightful” (Pee et al. 2019) (Cronbach’s $\alpha = .96$). Participants also reported their agreement with three statements that examined brand loyalty (Yoo and Donthu 2001). Items included, for example, “I consider myself to be loyal to Lenovo/Nescafé” (Cronbach’s $\alpha = .92$).

Covariates

We measured participants’ involvement with YouTube by asking their agreement with five statements, such as “Watching YouTube videos is a significant part of my life” (Lou and Yuan 2019) (Cronbach’s $\alpha = .92$). Participants reported their preexisting attitudes towards Lenovo/Nescafé on four semantic differential scales (Kelly, Slater, and Karan 2002), anchored by “not at all appealing/appealing”, “not at all cool/cool”, “Not at all in-style/in-style”, “not at all likeable/likeable” (Cronbach’s $\alpha = .95$).

Data analysis

To test the hypotheses and research questions, we first performed confirmatory factor analysis (CFA) using AMOS 25 for measurement testing, and then conducted the structural equation modeling (SEM) with maximum likelihood estimation for the full sample, as well as multi-group SEM testing for the high- and low- product involvement conditions, to investigate the hypothesized relationships. Participants’ demographic factors, including age, gender and ethnicity, showed no significant impact on the

Table 3. Assessment of the measurement model ($N = 665$).

Constructs	Items	Standardized Loadings	Cronbach's α	CR	AVE
Informative value	"relevant"	.91	.97	.96	.86
	"timely"	.88			
	"useful"	.96			
	"valuable"	.96			
Entertainment value	"entertaining"	.93	.95	.95	.80
	"enjoyable"	.94			
	"exciting"	.89			
	"pleasing"	.93			
	"feel relaxed"	.78			
Social value	"make me more popular"	.93	.96	.95	.84
	"help me stay in touch"	.87			
	"build relationships"	.94			
	"my peers may like"	.92			
Functional value	"reliable medium"	.91	.95	.95	.80
	"satisfactory medium"	.90			
	"good medium"	.90			
	"provides timely info."	.93			
	"fulfills my needs"	.82			
Experiential evaluation	"satisfied"	.95	.96	.95	.84
	"pleased"	.94			
	"contented"	.88			
	"delightful"	.90			
Brand Loyalty	"loyal to the brand"	.91	.92	.92	.80
	"be my first choice"	.93			
	"not buy others if it is available"	.83			
Prior Brand Attitude	"appealing"	.93	.95	.95	.83
	"cool"	.92			
	"in-style"	.90			
	"likeable"	.90			

Note. CR = composite reliabilities; AVE = average variance extracted.

results of model testing. Participants' involvement with YouTube did not significantly affect the results of model testing and was removed from model testing. Participants' preexisting brand attitudes was significant in influencing downstream outcomes and was controlled for in model testing.

Results

Manipulation check

Participants rated their involvement with laptop significantly higher than that of instant coffee ($M_{laptop} = 5.79$, $SD = 1.30$, $M_{coffee} = 4.83$, $SD = 2.02$, $t(663) = 7.28$, $p < .001$). Therefore, the assignment of high- vs. low- product involvement brands was successful.

Measurement validation (CFA)

We performed a first-order CFA to test the measurement fit. Based on the recommendations for model fits indices (e.g., Hair 2010), the CFA model produced an acceptable model fit: $\chi^2 = 694.25$, $df = 352$, $\chi^2/df = 1.97$, $CFI = .97$, $NFI = .95$, $TLI = .97$, $RMSEA = .05$. The reliability analyses demonstrated overall satisfactory reliability of the measurements for all the latent constructs (all Cronbach's α and composite reliability scores all exceed .70) (see Table 3). The average variance extracted (AVE) values of all the

Table 4. Correlations among the latent constructs.

	1	2	3	4	5	6	7
1. Informative	0.927						
2. Entertainment	0.767	0.894					
3. Social	0.749	0.618	0.915				
4. Functional	0.851	0.748	0.708	0.895			
5. Experiential	0.831	0.886	0.684	0.823	0.915		
6. Brand loyalty	0.662	0.579	0.798	0.615	0.629	0.893	
7. Prior brand attitude	0.463	0.461	0.524	0.476	0.493	0.673	0.912

Note. Diagonal elements are the square root of the AVE for each construct.

latent constructs were greater than .50, and the square root of the AVE for each latent variable were higher than its correlation with other variables (see Table 4). Therefore, we consider that all the measurement instrument demonstrated adequate convergent and discriminant validities.

Structural model testing & multi-group analysis

We assessed the model fit based on the following standards, such as χ^2/df (less than 3) (Kline 1998), CFI (greater than .90) (Bentler 1992), NFI (greater than .90) (Bentler 1992), and RMSEA (less than .06) (Hu and Bentler 1999). The proposed conceptual model revealed an overall good fit with the sample: $\chi^2/df = 2.89$, CFI = .95, NFI = .92, TLI = .94, RMSEA = .05. Since the full group model may disguise the effects that are specific to either the high- or low-product involvement condition, we looked into the analysis of multi-group SEM testing, with product involvement as the moderating factor. The constrained model was significantly different from the unconstrained model ($\Delta \chi^2 = 52.43$, $\Delta df = 29$, $p < .01$), meaning that the structural paths for the high- and low-product involvement brands are significantly different.

H1a focused on the relation between informative value and experiential evaluation of branded content marketing, and H4a hypothesized about the moderating effect of product involvement on this relation. The results showed that, for the high-product involvement condition, the perceived informative value positively predicted participants' experiential evaluation of branded content marketing ($\beta = .18$, $p < .01$), whereas the perceived informative value did not show any significant impact on experiential evaluation for the low-product involvement condition ($\beta = -.04$, $p = .36$). There was a significant difference between high- and low-product involvement brands, with informative value significantly affecting the experiential evaluation of a high-involvement product only (z score = 3.13, $p < .001$). H1a was thus partially supported, and H4a was supported.

H1b posited the positive effect of entertainment value on experiential evaluation, and H4b hypothesized about the moderating role of product involvement in this relation. The results revealed that, entertainment value had a significant effect on experiential evaluation across both high- and low-product involvement brands (high: $\beta = .52$, $p < .001$; low: $\beta = .63$, $p < .01$). The Z score showed that this relationship significantly differed as a function of product involvement, with the low-involvement product exhibiting a stronger relationship than that of the high-involvement one (z score = -1.97 , $p < .01$). H1b and H4b were both supported.

H1c posited the positive impact of social value on experiential evaluation, and RQ1 asked about the moderating role of product involvement in this relation. The results indicated that, social value positively affected experiential evaluation for the low-involvement product ($\beta = .06, p < .05$), but not for the high-involvement product ($\beta = .04, p = .17$). However, there was no significant difference for this relationship across the high- and low-involvement products (z score = $-.41$, NS). H1c was thus partially supported.

Moreover, H1d hypothesized about the positive influence of functional value on experiential evaluation, and RQ2 probed into the moderating role of product involvement in this relationship. The results revealed that, functional value positively affected experiential evaluation across both high- and low-product involvement brands (high: $\beta = .20, p < .001$; low: $\beta = .15, p < .001$). However, there was no significant difference for this relationship across the high- and low-involvement products (z score = $.75$, NS). H1d was thus supported.

H2 proposed the positive effect of experiential evaluation on brand loyalty, and RQ3 asked about the moderating role of product involvement in this relationship. The results revealed that, experiential evaluation positively influenced brand loyalty across both high- and low-product involvement brands (high: $\beta = .52, p < .001$; low: $\beta = .54, p < .001$). However, there was no significant difference across the high- and low-involvement products (z score = $-.35$, NS). H2 was supported.

In addition, H3 posited the mediating role of experiential evaluation in the relationship between value perceptions and brand loyalty. The results of a bootstrapping analysis (with 90% bias-corrected confidence intervals and 2,000 samples) demonstrated that, for the high involvement product, perceived informative value ($\beta = .09, p < .01$), entertainment value ($\beta = .27, p < .01$), and functional value ($\beta = .10, p < .01$) significantly predicted brand loyalty via experiential evaluation, whereas, social value ($\beta = .02, p = .22$) had no significant indirect effect on brand loyalty via experiential evaluation. For the low involvement product, the results showed that, perceived entertainment value ($\beta = .34, p < .01$), social value ($\beta = .03, p < .05$), and functional value ($\beta = .08, p < .01$) all significantly influenced brand loyalty via experiential evaluation, whereas, informative value ($\beta = -.02, p = .32$) did not have any significant indirect effect on brand loyalty via experiential evaluation. H3 was thus partially supported across both conditions (Figures 2 and 3).

General discussion

As an offshoot of brand communication, branded content marketing aims at proactively engaging consumers and providing value to them. While ample arguments advocate the positive impact of branded content marketing on brand building outcomes and consumer engagement (e.g., Ahmad et al. 2016; Chauhan and Pillai 2013; du Plessis 2015, 2017; Gagnon 2014; Holliman and Rowley 2014; Hutchins and Rodriguez 2018), few studies have inspected the causal relationships between the aforementioned constructs (e.g., Lou et al. 2019; Padilla Vivero 2016). This study is to fill the research gap by offering a more comprehensive and granular conceptual explanation accounting for the influence of branded content marketing on brand building.

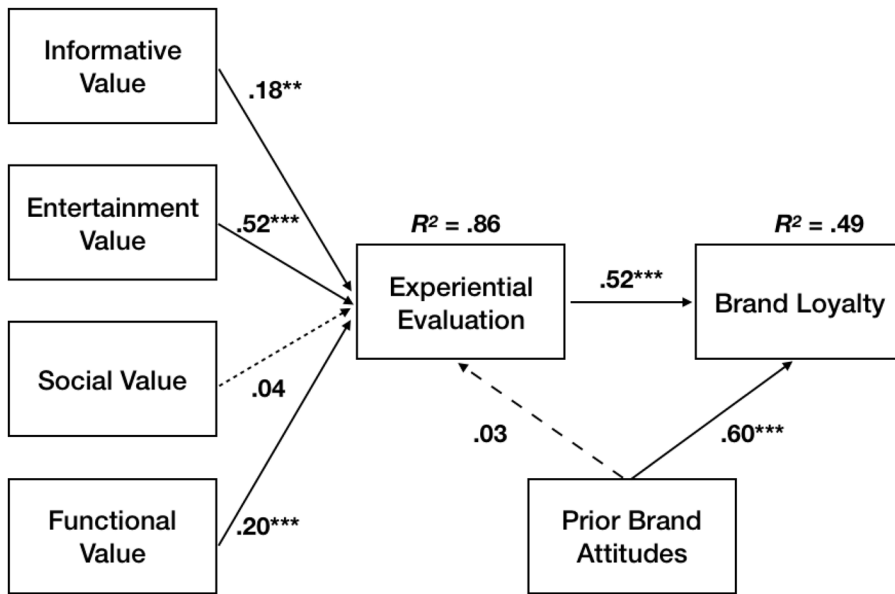


Figure 2. High product involvement subsample model with unstandardized estimates.
Note. Dashed lines indicate non-significant relationships. ** $p < .01$, *** $p < .001$.

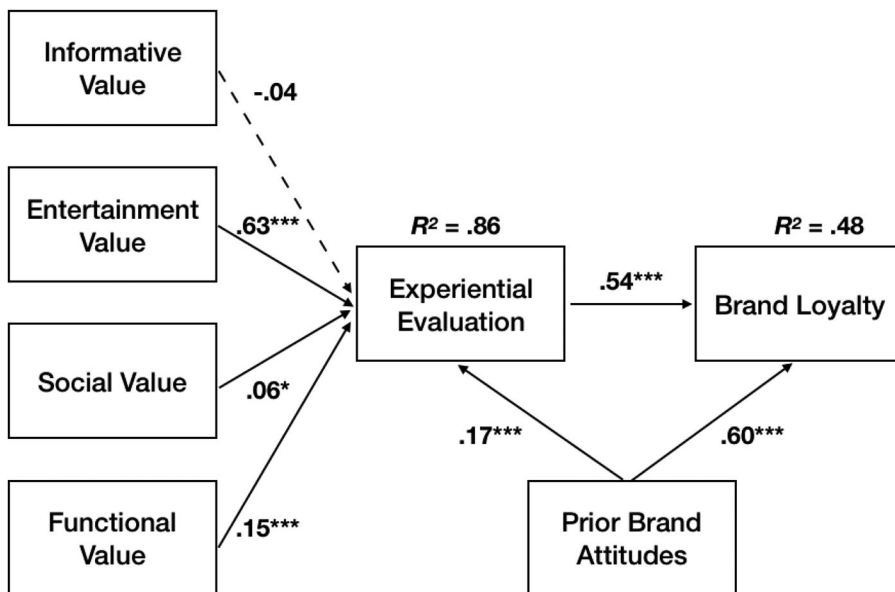


Figure 3. Low Product Involvement Subsample Model with Unstandardized Estimates.
Note. Dashed lines indicate non-significant relationships. ** $p < .01$, *** $p < .001$.

By so doing, it expanded the application of consumption values to the branded content marketing context and identified consumers' brand experiential evaluation as an underlying mechanism through which content values drive brand loyalty across both high- and low-product involvement brands. We discuss the major contributions as follows.

The first major contribution of this study lies in the finding that consumers' varied types of perceived values from branded content marketing affect their experiential evaluation of the brand differently. In particular, perceived informative value, entertainment value, and functional value, instead of social value, positively influenced participants' experiential evaluation of a high-product involvement brand, whereas entertainment value, social value, and functional value, but not informative value, positively affected that of a low-product involvement brand.

Informative value

For a high-product involvement brand, the finding on the positive role of informative value in brand experience aligned with prior findings (e.g., Lou et al. 2019), however the null effect of informative value on a low-product involvement brand agrees with another line of arguments (e.g., Pura, 2005). As Pura (2005) argued, for a low-involvement product, informative value may matter for the first-time users, but not for their subsequent experiences. It is sensible to speculate that, for a low-involvement product, consumers are not often motivated to attend to the informative content of their brand experiences, whereas they readily invest more cognitive processing when interacting with a high-involvement product.

Entertainment value

The finding regarding the role of entertainment value in experiential evaluation largely aligns with what Lou et al. (2019) have found – entertainment value matters slightly more for a low-involvement product than for a high-involvement product in boosting brand loyalty. It can be explained that, consumers expect and extract more emotional value when interacting with a low-product involvement brand as they are exonerated from cognitive learning or processing, whereas their attention to the entertainment value of a high-product involvement brand will be lessened as they are more motivated to process cognitive or useful information. Nonetheless, it is noteworthy that entertainment value was the most important dimension of consumers' brand experiences for both high- and low-involvement products, echoing the assertion that branded content that provides emotional value plays an indispensable role in brand building on YouTube (Lou et al. 2019).

Social value

Although prior research has evidenced the positive role of social value in consumer behavior and/or brand loyalty across contexts like streaming app use (Oyedele and Simpson 2018), online retailing platform (Ming-Sung Cheng et al. 2009), and travel destination (Luo et al. 2019), our findings showed that social value had no significant effect on experiential evaluation for a high-involvement product and a small effect on a low-involvement product. This, however, agrees with what Mohd-Any, Winklhofer, and Ennew (2015) have found when examining users' value experiences of a travel website. We thus speculate that, although social value contributes to the enhancement of self-image among one's social network (Sheth et al. 1991), exposure to branded content marketing may not directly translate to image or status boost. Compared to other types of values, social value did not contribute as much to

consumers' brand experiences on YouTube, and this implies that branded content marketing largely fulfils consumers' needs for information or entertainment rather than their social needs.

Functional value

Aligning with a prior finding (Ming-Sung Cheng et al. 2009), we also found that the functional value of the brands' social media channel (i.e., YouTube) contributes to boosting consumers' experiences for both high- and low-involvement products. Functional value was also the second most important predictor of consumers' experiential evaluation of branded content across both high- and low-involvement products. This signals that, amidst the rapid information diffusion process, the reliability of brands' owned media (e.g., social media platforms) can provide value to consumers that can enhance consumers' brand experiences and attachment.

The second major finding relates to the relationship between experiential evaluation and brand loyalty, as well as the mediating role of brand experience in the connection between value perceptions and brand loyalty. This advanced the literature on the experiential view of consumption (Holbrook and Hirschman 1982) and also added to the findings on the impact of brand experience in brand loyalty (e.g., Sreejesh and Abhilash 2017; Pee et al. 2019). Holbrook and Hirschman (1982) questioned the "hegemony of the information processing perspective" (132) and suggested to supplement it with "an admixture of the experiential perspective" (138). Recently, the role of brand experience has been considered when studying consumers' evaluations of online stores (Pee et al. 2019), E-service (Li et al. 2015), and banking service (Loureiro and Sarmento 2018). As Pee et al. (2019) argued, customers' loyalty builds incrementally; information-processing based evaluation (vs. experiential evaluation) can have a stronger effect on loyalty in the initial stage (first purchase), whereas experiential evaluation increases more rapidly and becomes a driving force for loyalty increment in the long run. We also found that, branded content marketing that constitutes an essential component of brand experiences can indeed drive brand loyalty through an experiential route.

Last, the findings also enriched the extant literature on the role of product involvement in consumer decision making and information processing (e.g., Park and Hastak 1994; Petty et al. 1983; Te'eni-Harari, Lehman-Wilzig, and Lampert 2009), as well as its moderating role in consumer satisfaction-loyalty relation (Suh and Youjae 2006) and value perceptions-loyalty relation (Lou et al. 2019). In particular, it is sensible to expect that the informative value of a high involvement product plays a stronger role in experiential evaluation than that of a low involvement, whereas a flipped pattern occurs regarding the role entertainment value in experiential evaluation. This aligns with the propositions of information processing routes (i.e., ELM) and the experiential view of consumption (Holbrook and Hirschman 1982). It can be understood as, consumers have different agendas when engaging with the branded content of products that vary in perceived relevance or importance, displaying a more cognitive emphasis for branded content of a high-involvement product and a more affective need for that of a low-involvement product. Moreover, product involvement did not moderate the social or functional value-experiential evaluation relation or the experiential

evaluation-loyalty relation. In view of these findings, it reveals that social value plays a limited role in experiential evaluation (only significant for low-involvement product) and that product involvement did not affect consumers' evaluation of the utilitarian value of brand channels that boast the branded content marketing (YouTube). It is also worth noting that brand experience plays an equally critical role in brand loyalty for both high- and low-involvement products, again highlighting the importance of experiential aspects of consumption (Holbrook and Hirschman 1982; Huang et al. 2012; Pee et al. 2019). Nonetheless, our conclusions warrant some caution, given that we selected only one category of products at either a high- or low-involvement level.

Theoretical implications & future research

First, this study offered a more detailed classification of branded content marketing value, proposed, and identified a theoretical framework explicating the process of branded content marketing in brand loyalty, which advanced the extant literature on content marketing. Drawing on the lens of consumption values, we expanded the two-dimensional classification of branded content marketing value (e.g., Lou et al. 2019) by considering the social and functional values (i.e., content and communication channel). Second, this study applied the classification of consumption values to the context of branded content marketing. Prior research has applied Sheth et al.'s (1991) classification of consumption values in investigating consumer responses to online retailing platforms, mobile services, streaming apps, and touristic destinations (Luo et al. 2020; Ming-Sung Cheng et al. 2009; Oyedele and Simpson 2018; Pihlström and Brush 2008). Rarely has any study applied this framework in explicating the value perceptions of brand communications. Our findings corroborated the robustness of Sheth et al.'s (1991) classification of consumption values in explaining consumers' interactions and engagement with brands. Furthermore, we explicated and identified experiential evaluation as a mechanism through which consumers' derived values of branded content marketing accelerate brand loyalty, which readdressed and lessened the imbalance between the pervasive information processing view and rarely mentioned experiential perspective of consumption (Holbrook and Hirschman 1982). Afforded by the 24/7 online or social media connectivity, brands have more contact points with consumers than ever. Brand experience, or consumers' experiential evaluation of their brand-related activities, plays an increasingly critical role in long-term brand building and should be dealt with delicately.

More importantly, the current findings point directions for future research that promises theory building in this research area. First, our current findings suggest that social value plays an insignificant role in consumer brand experience, especially for a high-involvement product. Future research could investigate the role of social value in brand building when content marketing is directed at members of an affinity group, such as the Harley Owners Group (HOG) or another distinct consumer club. Second, the two products used in this study often function as utilitarian products. Future research may also explore whether certain values play a bigger role for a hedonic product than for a utilitarian product. Third, this study explored branded videos on YouTube. Online videos undoubtedly promise the highest ad revenue growth (Santo

2019), however, visual-based platforms such as Instagram (predominantly pictures) also breeds great potential for branded content marketing. Future research could account for the role of modality and platforms when expounding the impact and process of branded content marketing. Moreover, while this research conceptualized and investigated affective processing as a central mechanism that explains the impact of branded content marketing on brand loyalty, future research can also consider the role of cognitive processing as another parallel mechanism.

Practical implications

Our findings emphasized the value of branded content marketing in shaping consumers' brand experiences and brand loyalty. For high-product involvement brands, they can invest in producing content that carries informative or entertaining value, which contributes to curating pleasant consumer experiences. For instance, *Tesla's* YouTube channel boasts a series of tutorial videos teaching people how to operate a specific car model (informative value); *Mercedes-Benz USA's* YouTube channel features an aesthetic and emotional video of *Loki (Loki the Wolfdog, an Instagram influencer)* and his owner driving the vehicle (entertainment value). However, the perceived social value of a high-product involvement brand (i.e., *Lenovo*) doesn't seem to correlate with consumers' experiential evaluation, which implies that brands may devote more to creating unique, informative, or entertaining branded content, instead of content that carries social value among peers.

On the other hand, low-product involvement brands are advised to create branded content that exhibits entertainment or social value, which can positively shape consumers' brand experiences and subsequent brand loyalty. For instance, creating branded content that can entertain or relax consumers and/or content that can facilitate conversations, discussions, or relationship building between consumers and their social network. For example, *Nescafé* launched the "co-creation consumers contest" on its YouTube channel that encourages consumers to share user-generated videos of *Nescafé* coffee. It is worth noting that offering informative branded content may not be as important to low-product involvement brands as to high-involvement brands in terms of long-term brand building.

Last, both high- and low-product involvement brands can allocate resources in updating content on their social media channels and construct them as reliable go-to places for brand or product information among consumers, e.g., *West Elm*, a furniture and home décor brand, uploads an ongoing series of tutorials to its YouTube channel teaching about home decoration and furniture organization. The perceived functional value of brands' social media platforms can ultimately heighten brand loyalty via augmenting consumer experiences.

Limitations and suggestions

This study also bears several limitations. First, this study focused on branded content marketing of two product categories/brands – corresponding to either a high- or a low-product involvement level (i.e., laptop and instant coffee); future research can look

into a wider range of product categories and brands, such as brands of automobiles, cosmetics, or luxury products, to increase the generalizability of the current findings. Future research should also consider the intrinsic differences between the two brands used in this study and test the proposed relationships using different combinations of high- vs. low-product involvement brands. Second, we extracted videos from the two brands' YouTube channels. The inherent differences between their brand content may also generate confounding factors, which could affect the model testing results. Future researchers can develop stimuli of a fictitious brand to avoid confounding factors. Moreover, balancing the tradeoff between external validity and internal validity, we requested the participants to watch three branded videos in this study, which may deviate from what consumers normally do with branded content. Future research should grant more autonomy to the participants when viewing branded content and retest the current findings. Last, the current research adopted a U.S. sample. However, cultural factors may play a role in how consumers perceive values of branded content marketing and how their value perceptions influence experiential evaluations and brand loyalty. Future studies can also test the model using cross-cultural samples.

Note

1. Since this current study is a part of an on-going project and builds on the findings of a previous study, the results of the pretests in this manuscript have also appeared in a published article. However, the results of the main study, which constitute the focal contributions of the current study, are new and have not been published elsewhere.

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Appendix

Videos for High-product Involvement brand (Lenovo)

Campaign event:

Highlights from Mobile World Congress 2018

www.youtube.com/watch?v=11_J-tMVZEE

Tutorial:

How to Pretend You're Working This Holiday Week.

www.youtube.com/watch?v=xll4y5B3K8w

Consumer contest/story:

Lenovo Day in The Life: Jukka The Banjo Man & YOGA 3 Pro

www.youtube.com/watch?v=f7jlQuM4GzQ&list=PLs18hw3X0NC6DVR74rXZ246KP28CIFE14

Videos for Low-product Involvement brand (Nescafé)

Campaign event:

#GoodMorningWorld 2016

www.youtube.com/watch?v=m5el_zP-kw

Tutorial:

NESCAFÉ - Mocha Stencil Tutorial Video

www.youtube.com/watch?v=DpRIlzRyvvQ&list=PL2mHIKzzZrP_flpyi23nx6C432-wTKu8X

Consumer contest/story.

NESCAFÉ co-creation consumers contest - Winner #1

www.youtube.com/watch?v=OJsYJ4yEH8E&index=2&list=PL2mHIKzzZrP97n7KI5Wj1qt67qIT3Dxe5